

Legal Risk Analysis Report

Document: mutual_non_disclosure_agreement.pdf | Words analysed: 1,190 | Generated: 28 Jul 2026, 16:37

HIGH RISKS	MEDIUM RISKS	LOW RISKS
4	7	3

1. ● HIGH RISK

FLAGGED CLAUSE

■ *obligations of confidentiality and non-use...shall survive for a period of three (3) years from the date of initial disclosure*

WHY IT'S A RISK

The 3-year survival period may be insufficient for highly sensitive trade secrets or IP, which could remain competitively valuable far longer and lose protection after this window closes.

SUGGESTION

Negotiate a longer survival period (e.g., 5-7 years) for general confidential information, and consider carving out trade secrets for indefinite protection under applicable trade secret law.

2. ● HIGH RISK

FLAGGED CLAUSE

■ *terminated earlier by either Party upon thirty (30) days' written notice to the other Party*

WHY IT'S A RISK

Either party can terminate the active agreement with only 30 days' notice, potentially during sensitive ongoing disclosures, leaving the disclosing party with reduced contractual protections mid-project.

SUGGESTION

Negotiate a longer notice period (e.g., 90 days) and add a clause requiring that termination cannot occur while active disclosures or negotiations are underway without mutual consent.

3. ● HIGH RISK

FLAGGED CLAUSE

■ *Archival backup copies automatically generated by system disaster recovery procedures may be retained, subject to ongoing adherence to the confidentiality terms*

WHY IT'S A RISK

This creates an indefinite retention loophole where sensitive confidential information persists in backup systems with no defined deletion timeline, creating long-term exposure risk.

SUGGESTION

Add a specific maximum retention period for backup copies (e.g., 12 months after agreement termination) and require written confirmation when backup copies are ultimately overwritten or destroyed.

4. ● HIGH RISK

FLAGGED CLAUSE

■ *No text provided — Section 7 'NO WARRANTY OR INTELLECTUAL PROPERTY RIGHTS' appears incomplete and cut off*

WHY IT'S A RISK

The IP ownership and warranty disclaimer clause is truncated, meaning critical protections — such as clarifying that no IP license is granted — are missing or unenforceable as written.

SUGGESTION

Obtain and review the complete document immediately; ensure the IP clause explicitly states that no license, ownership rights, or IP transfer is granted by virtue of any disclosure under this agreement.

5. ● MEDIUM RISK

FLAGGED CLAUSE

■ *whether orally, visually, in writing, or in electronic or other tangible or intangible form*

WHY IT'S A RISK

Including oral disclosures without requiring written confirmation creates ambiguity about what qualifies as Confidential Information, making it difficult to prove or enforce protection of verbally shared information.

SUGGESTION

Add a requirement that oral disclosures be confirmed in writing (e.g., via email summary) within 10-15 business days of disclosure to provide a clear, auditable record of what is protected.

6. ● MEDIUM RISK

FLAGGED CLAUSE

■ *restrict access to its employees, affiliates, advisors, and legal counsel who have a strict 'need-to-know'*

WHY IT'S A RISK

The inclusion of 'affiliates' is broad and undefined, potentially allowing disclosure to a wide range of related entities without the Disclosing Party's knowledge or consent.

SUGGESTION

Define 'affiliates' with a specific ownership threshold (e.g., entities with >50% common ownership) and require that any affiliate receiving confidential information also sign a written confidentiality undertaking.

7. ● MEDIUM RISK

FLAGGED CLAUSE

■ *potential business relationship, transaction, or collaborative project of mutual interest regarding cloud infrastructure integration*

WHY IT'S A RISK

The Purpose is broadly and vaguely defined, which could allow a receiving party to justify using confidential information for a wider range of activities than intended.

SUGGESTION

Narrow the Purpose to a specific, well-defined project or transaction with clear scope boundaries, and include language prohibiting use of information for any activity outside that defined scope.

8. ● MEDIUM RISK

FLAGGED CLAUSE

■ *independently developed by employees or agents of the Receiving Party who had no access to or reliance upon the Disclosing Party's Confidential Information*

WHY IT'S A RISK

The independent development exclusion is difficult to prove or disprove in practice, and could be exploited by a bad-faith party to claim independently developed competing work based on exposed information.

SUGGESTION

Add a requirement that independent development be evidenced by contemporaneous written records predating the disclosure, and consider including an audit right to verify such claims if disputed.

9. ● MEDIUM RISK

FLAGGED CLAUSE

■ *No assignment, jurisdiction, governing law, or dispute resolution clause is present in the visible document*

WHY IT'S A RISK

The absence of a governing law, jurisdiction selection, and dispute resolution mechanism leaves both parties without agreed procedures if a conflict arises, increasing litigation cost and uncertainty.

SUGGESTION

Add a governing law clause specifying a chosen state (e.g., Delaware or California), a jurisdiction clause for court disputes, and consider including a tiered dispute resolution clause (negotiation, then mediation, then arbitration or litigation).

10. ● MEDIUM RISK

FLAGGED CLAUSE

■ *No assignment rights clause is present in the visible document*

WHY IT'S A RISK

Without an anti-assignment clause, either party could assign its rights and obligations — including access to confidential information — to a third party, such as a competitor, without consent.

SUGGESTION

Insert an explicit clause prohibiting assignment of any rights or obligations under the agreement without the prior written consent of the other party, with an exception for assignments in connection with a merger or acquisition subject to notice.

11. ● MEDIUM RISK

FLAGGED CLAUSE

■ *No force majeure clause is present in the visible document*

WHY IT'S A RISK

Without a force majeure provision, a party could be held in breach for failing to meet obligations (e.g., timely destruction of materials) due to circumstances entirely outside its control.

SUGGESTION

Add a force majeure clause covering events such as natural disasters, cyberattacks, government actions, or other unforeseeable events that prevent timely compliance, with a reasonable cure period.

12. ● LOW RISK

FLAGGED CLAUSE

■ *provide the Disclosing Party with prompt written notice of such request so that the Disclosing Party may seek an appropriate protective order*

WHY IT'S A RISK

'Prompt' is undefined and subjective, which could result in the Disclosing Party receiving notice too late to obtain a protective order before disclosure occurs.

SUGGESTION

Replace 'prompt' with a specific timeframe (e.g., 'no fewer than five (5) business days before the required disclosure date, where legally permissible') to ensure adequate time to seek legal relief.

13. ● LOW RISK

FLAGGED CLAUSE

■ *within fifteen (15) days following the written request of the Disclosing Party...return or securely destroy all documents*

WHY IT'S A RISK

15 days may be insufficient for large or complex data environments, and failure to meet this deadline — even inadvertently — could constitute a technical breach of the agreement.

SUGGESTION

Extend the return/destruction period to 30 days and include a provision allowing the parties to mutually agree on an extended timeline for complex or voluminous data environments.

14. ● LOW RISK

FLAGGED CLAUSE

■ *reasonably should be understood to be confidential given the nature of the information and the circumstances of disclosure*

WHY IT'S A RISK

The 'reasonably should be understood' standard is subjective and could lead to disputes about whether specific information was covered, especially for informal or conversational disclosures.

SUGGESTION

Supplement this standard with a non-exhaustive list of categories of information that are automatically deemed confidential (e.g., source code, financial projections, customer data) to reduce interpretive disputes.